

TRANSACTION 1

Jet Payapag invested in his business, P 500,500.
cash in an advertising business.

ANALYSIS: DEBIT AS INCREASE IN ASSET,
CREDIT AS INCREASE IN CAPITAL

TRANSACTION 2

Bought goods for cash, P 8,000

ANALYSIS: DEBIT AS INCREASE IN ASSET
CREDIT AS DECREASE IN ASSET

TRANSACTION 3

Paid the month's rent, P 3,000

ANALYSIS: CREDIT AS DECREASE IN ASSET
DEBIT AS DECREASE IN CAPITAL

TRANSACTION 4

Sold goods for cash, P 150,000

ANALYSIS: DEBIT AS INCREASE IN ASSET

DEBIT		CREDIT	
CASH		J. PAYAPAG CAPITAL	
500,500			500,500
SUPPLIES		CASH	
8,000			8,000
RENT EXPENSE		CASH	
	10,000		10,000
CASH		GOODS	
150,000			150,000

CREDIT AS DECREASE IN ASSETS

TRANSACTION 5

Paid salaries of employees, 10,000

ANALYSIS: DEBIT AS DECREASE IN CAPITAL
CREDIT AS DECREASE IN ASSET

SALARIES EXPENSE		CASH
10,000		10,000

TRANSACTION 6

Sold goods on credit, P 12,000

ANALYSIS: DEBIT AS INCREASE IN ASSET
CREDIT AS DECREASE IN ASSET

ACCOUNT RECEIVABLE		SALE OF GOODS
12,000		12,000

TRANSACTION 7

Bought for cash, goods amounting to P 40,000

ANALYSIS: DEBIT AS INCREASE IN ASSET
CREDIT AS DECREASE IN ASSET

GOODS		CASH
40,000		40,000

TRANSACTION 8

Sold goods for cash, P 45,000

ANALYSIS: DEBIT AS INCREASE IN ASSET
CREDIT DECREASE INCAPITAL

CASH		SALE OF GOODS
45,000		45,000

TRANSACTION 9

Collected from credit customers, 5,000

CASH		ACCOUNT RECEIVABLE
5,000		5,000

ANALYSIS: DEBIT AS INCREASE IN ASSET
CREDIT AS DECREASE IN ASSET

TRANSACTION 10

Jet Paypag withdrew P 10,000 cash for personal use.

ANALYSIS: DEBIT AS DECREASE IN CAPITAL
CREDIT AS DECREASE IN ASSET

TRANSACTION 11

Collected partial settlement amounting to P 9,000 from transaction no. 6

ANALYSIS: DEBIT AS INCREASE IN ASSET
CREDIT AS DECREASE IN ASSET THROUGH AR COLLECTION

TRANSACTION 12

Paid telephone bill for the month, P 1,200

ANALYSIS: CREDIT AS DECREASE IN ASSET
DEBIT AS DECREASE IN CAPITAL

TRANSACTION 13

Borrowed money and put into a business as additional capital, P 50,000

ANALYSIS: DEBIT INCREASE IN ASSET
DEBIT INCREASE IN CAPITAL

TRANSACTION 14

Acquired new equipment using personal money and invested into the business, ₱ 40,000

DRAWING		CASH
10,000		10,000
CASH		ACCOUNTS RECEIVABLE
9,000		9,000
UTILITIES EXPENSE		CASH
1,200		1,200
CASH		LOANS PAYABLE
50,000		50,000
CASH		CAPITAL

ANALYSIS DEBIT AS INCREASE IN ASSET
CREDIT AS IN INCREASE IN CAPITAL

TRANSACTION 15

Paid ₱ 10,000 as partial payment for transaction no. 13 using money of the business

ANALYSIS: DEBIT AS DECREASE IN LIABILITIES
CREDIT FOR DECREASE IN ASSET

40,000			40,000
LOAN PAYABLE			CASH
10,000			10,000

